

AI FOR BUSINESS LEADERS · ONLINE SERIES FOR ISCA

AI Governance Overview

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Would you approve the launch?



RETAILER CHATBOT · HYPOTHETICAL EXAMPLE

A Singapore retailer's customer-service chatbot

The supplier says its product follows Singapore’s Model AI Governance Framework.



Approve the launch

Supplier alignment alone does not establish readiness.



Reject the proposal

The available facts do not justify permanent rejection.



Request more information

Withhold approval and obtain evidence about this deployment.

Answer: Request more information

At least four more things you need to know

Data*

What personal data will the chatbot collect or use?

Jurisdictions

Which jurisdictions will it serve?

Customer commitments

What commitments can it make to customers?

Accountability

Who will be accountable for its operation?

Singapore’s Model AI Governance Framework is voluntary.
Applicable obligations under the PDPA remain binding.

*Direct PDPA relevance where personal data is involved. Other questions may also raise data-protection obligations.

AI adoption and oversight in UK financial services

75%

were already using AI

Of responding firms

46%

reported partial understanding of the AI they used

Survey respondents' reported understanding

1/3

were third-party implementations

Of reported AI use cases

Sector-specific evidence. These figures do not measure how firms would answer the launch question.

What is an AI system?

PLAIN-LANGUAGE PARAPHRASE

A machine-based system that infers from inputs how to produce predictions, content, recommendations or decisions.

Outputs can affect physical or virtual environments.
Systems vary in autonomy and post-deployment adaptiveness.

Predictive model

Estimates credit risk.

Generative AI

Produces a customer reply.

AI agent

Acts through software tools.

What is AI governance?

COURSE WORKING DEFINITION

The responsibilities, policies, decision processes and controls through which an organisation oversees AI throughout its lifecycle.

Covers development, procurement and use.

Governance

Who decides, using what evidence, and when must they reconsider?

Risk management

What could cause harm, and which controls address it?

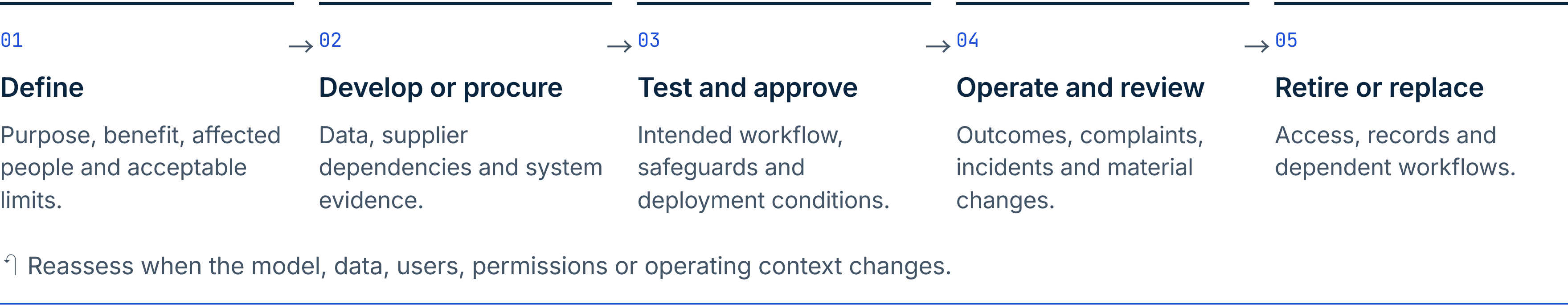
Compliance

Which external requirements must the organisation meet?

Purpose: achieve intended benefits, meet applicable obligations and manage harm.

Governance covers the AI lifecycle

Organisation-wide policy, accountability and oversight apply throughout.



Scope includes internal development, purchased services and staff use of predictive AI, generative AI and agents.

Six components of organisational AI governance

01

Accountability and oversight
Owner, approval authority and escalation.

03

Data and supplier governance
Privacy, quality, security and supplier responsibilities.

05

Transparency and recourse
Accurate explanations and usable review routes.

02

Inventory and impact assessment
Uses, purposes, affected people and consequences.

04

Testing and human oversight
Acceptable performance and effective intervention.

06

Monitoring and improvement
Outcomes, incidents, changes and retirement.

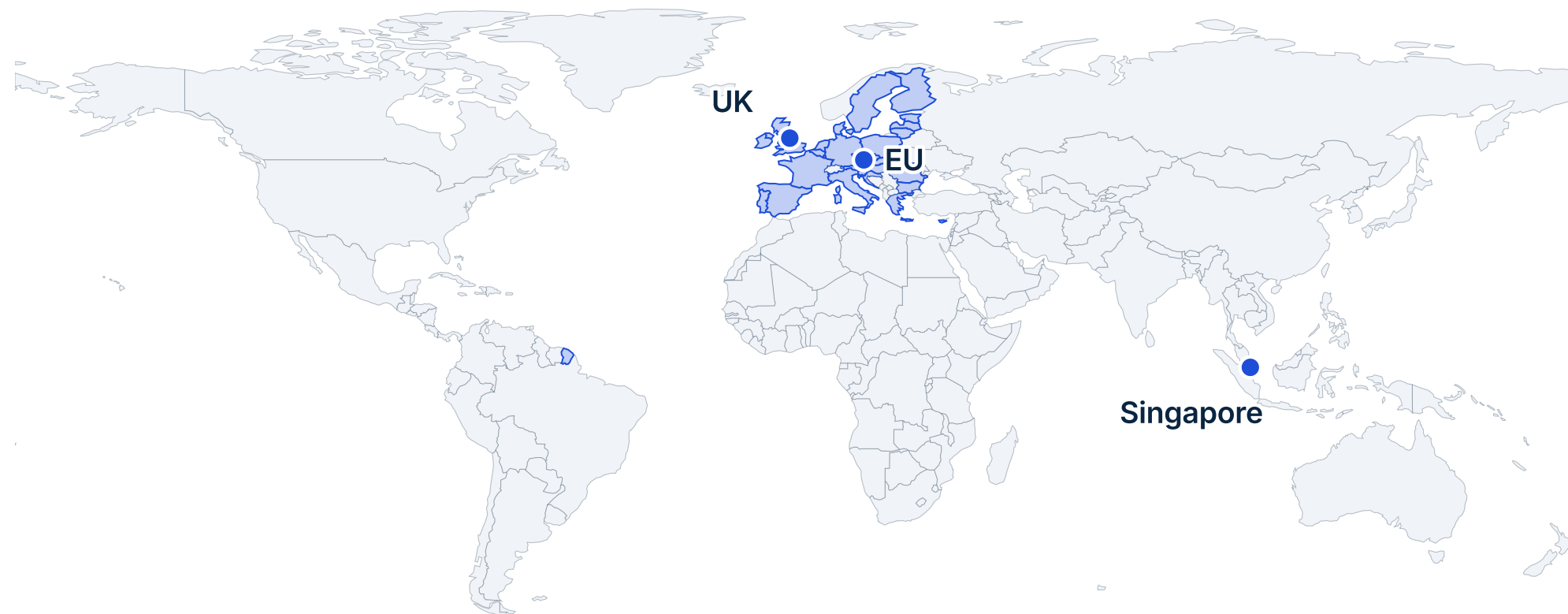
Teaching synthesis: connected components, with controls proportionate to the use and its consequences.

Who reviews an AI proposal before launch?

Role	Question to resolve	Evidence before approval
Business owner	What is the intended use and acceptable outcome?	Purpose, boundaries and affected people
Technical and data teams	Does the system work acceptably in this setting?	Test results, limitations and operating controls
Risk, legal and compliance	Which obligations apply, and are the safeguards adequate?	Applicability assessment and independent challenge
Accountable executive	Do the evidence and conditions justify deployment?	Approval record, residual risk and review triggers

Illustrative responsibilities. The same functions remain involved during operation and material change.

AI governance across jurisdictions



Selected jurisdictions. Singapore is shown as a location marker.

Assess the use, affected people, locations and the organisation's provider or deployer role.

Singapore

Existing law, sector supervision and voluntary frameworks.

European Union

A cross-sector AI Act with duties by system, activity and role.

United Kingdom

Existing regulators and legal frameworks, supported by policy principles.

Different instruments have different legal effects

Binding requirements ENFORCEABLE WITHIN THEIR SCOPE	Acts, regulations and binding regulatory requirements create duties for the relevant activity.
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Supervisory expectations READ THE INSTRUMENT AND LEGAL BASIS	Guidance may explain existing law or inform supervisory assessment and corrective action.
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Voluntary frameworks RECOMMENDED PRACTICES	Methods and guidance for organising controls. Contracts or policies may add commitments.
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Several instruments may apply to one use. These are not three levels of risk.

AI Governance in Singapore

BINDING WITHIN SCOPE

Existing legal obligations

The PDPA governs relevant collection, use and disclosure of personal data, subject to scope and exceptions.

For the chatbot: review purposes, notification, protection and retention of customer information.

Assess other business obligations and relevant sector requirements.

VOLUNTARY GUIDANCE · SECOND EDITION, 2020

Model AI Governance Framework

Internal governance and responsibilities.

Human involvement and operations management.

Stakeholder communication.

The framework supports governance practices; it does not replace applicable law.

EU AI Act

Prohibited practices

Uses the Act bans within its scope.

High-risk systems

Risk management, data, records and human oversight.

General-purpose AI

Separate obligations for model providers.

Transparency

Disclosure for specified AI interactions and content.

2 February 2025 Prohibitions APPLICABLE	2 August 2025 General-purpose AI provisions APPLICABLE*	2 August 2026 General application, including Article 50 APPLICABLE*	2 December 2027 Annex III high-risk requirements NOT YET APPLICABLE	2 August 2028 Annex I product-related high-risk requirements NOT YET APPLICABLE
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*Transitional provisions apply. Requirement groups can overlap.

Non-EU organisations can be in scope, including certain uses of AI outputs in the Union.

AI Governance in the United Kingdom

EXISTING LEGAL FRAMEWORKS

Identify the activity and regulator

Data protection, equality and sector regulation may be relevant.

The ICO addresses data protection. Financial regulators oversee financial services.

Translate applicable requirements into responsibilities, controls and evidence for the AI use.

2023 POLICY PRINCIPLES · NOT FIVE NEW STATUTORY DUTIES

Principles for regulation

Safety, security and robustness.
Appropriate transparency and explainability.

Fairness.
Accountability and governance.

Contestability and redress.

Does following a framework resolve the data issue?

The retailer collects contact details and purchase histories to personalise offers. It has not explained those purposes. Assume the PDPA notification obligation applies.

The supplier follows the Model AI Governance Framework and displays an AI label.

 **Yes. Following the framework resolves it.**
Framework alignment does not establish that the retailer met its obligation.

 **No. Address the applicable PDPA obligation before launch.**
The retailer must explain the relevant data-use purposes.

 **Yes. The AI label is enough.**
An AI label alone does not explain the data-use purposes.

Answer: No. Address the applicable PDPA obligation before launch.

HSBC's credit-assessment disclosures

2018 · The access request

An unsuccessful credit-card applicant sought HSBC's internal evaluation report.

The bank supplied a report with specified information redacted.

2021 · The PDPC decision

The evaluative-purpose exception supported withholding specified data.

HSBC also supplied explanations of its AI/data practices and credit assessments.

"From the perspective of accountability and disclosure of policies and practices, HSBC had acquitted itself."

Deputy Commissioner for Personal Data Protection · paragraph 19

Lesson: prepare accurate explanations alongside the assessment of access rights and exceptions.

Would you approve the chatbot now?



RETAILER CHATBOT · HYPOTHETICAL EXAMPLE

A Singapore retailer's customer-service chatbot

The team has supplied evidence. Refund-policy answers have not passed the retailer’s acceptance tests.

- | | | |
|----|---------------------------|---|
| 01 | Accountable owner | Head of Customer Operations. |
| 02 | Customer review | A human reviewer can correct an outcome. |
| 03 | Disclosures | Explain data use and the chatbot’s limits. |
| 04 | Operating evidence | Supervised testing, monitoring and tested shutdown. |

Decision: restrict the pilot. Permit product information and order status.
Keep refund decisions with staff until testing and controls justify expansion.

AI Governance implementation roadmap

01 · FOUNDATION

Create an AI inventory

- Record purpose, owner, users, data, supplier and deployment status.
- Assign responsibility for keeping it current.
- Address urgent known risks while completing the inventory.

02 · ASSESS AND ESTABLISH CONTROLS

Assess uses and establish controls

- Identify obligations and approval authority.
- Test performance and human review.
- Establish disclosures and supplier requirements.

03 · OPERATE AND IMPROVE

Monitor and improve

- Monitor outcomes, complaints and incidents.
- Review material changes and management decisions.
- Test rollback or retirement arrangements.

Add assurance tools, dedicated resources or certification when risk, scale or contractual needs justify them.